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A PROJECT REPORT

ON

ACCOUNTING, TALLY & GST

*Fundamentals of Financial Accounting, Computerised Accounting with TallyPrime
and Goods and Services Tax Compliance in India — with a Case Study*

Submitted in partial fulfilment of the requirements for the award of the degree of

(Course / Degree)

Branch / Specialization: _____

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Date of Submission	:	_____

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DEPARTMENT OF _____

Session: 20____ – 20____

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under my supervision and guidance in partial fulfilment of the requirements for the award of the
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ABSTRACT

Accounting is the language of business. Every organisation — from a small retail shop to a multinational company — must record, classify and summarise its financial transactions in order to know its profit or loss, its financial position and its tax liability. In India, the introduction of the Goods and Services Tax (GST) on 1 July 2017 transformed indirect taxation and made computerised, compliance-ready accounting an essential skill for accountants, entrepreneurs and finance professionals.

This project report presents a structured study of three interlinked areas: the fundamentals of financial accounting, computerised accounting using TallyPrime, and the GST framework in India. The report begins with the basic concepts, conventions and the double-entry system, the golden rules of accounting and the accounting cycle from journal to financial statements. It then describes the architecture of TallyPrime — company creation, groups and ledgers, inventory masters, voucher types, and the generation of financial and statutory reports. The third part examines the constitutional basis and structure of GST, registration, tax invoices, time and place of supply, input tax credit and its order of utilisation, the return-filing system (GSTR-1, GSTR-3B, GSTR-9), e-invoicing and e-way bills, and the rate rationalisation implemented from 22 September 2025.

A case study of a small trading firm illustrates one month of transactions involving intra-state and inter-state purchases and sales, recorded through GST-enabled vouchers in TallyPrime. From these transactions the report prepares the journal, trial balance, profit and loss account and balance sheet, computes output tax and eligible input tax credit, applies the statutory set-off order and arrives at the net GST payable in cash, and shows how the same figures flow into the GSTR-1 and GSTR-3B returns.

The report concludes that sound conceptual knowledge of accounting, practical command of an accounting package such as TallyPrime, and a working understanding of GST law together form the core competency expected of an accounts professional today, and identifies areas for further study.

Keywords: *Financial accounting, double-entry system, golden rules, TallyPrime, vouchers, ledgers, GST, CGST, SGST, IGST, input tax credit, GSTR-1, GSTR-3B, e-invoicing.*

TABLE OF CONTENTS

Section	Page No.
Certificate	i
Declaration	ii
Acknowledgement	iii
Abstract	iv
List of Figures	vii
List of Tables	viii
List of Abbreviations	ix
Chapter 1: Introduction	1
1.1 Background	1
1.2 Meaning and Scope of Accounting	1
1.3 Objectives of the Project	2
1.4 Organisation of the Report	2
Chapter 2: Fundamentals of Financial Accounting	3
2.1 Accounting Concepts and Conventions	3
2.2 The Double-Entry System and Classification of Accounts	4
2.3 The Accounting Cycle	5
2.4 Financial Statements	6
Chapter 3: Computerised Accounting with TallyPrime	7
3.1 Introduction to Tally	7
3.2 Company Creation and Configuration	7
3.3 Masters: Groups, Ledgers and Inventory	7
3.4 Voucher Entry	9
3.5 GST in TallyPrime	9
3.6 Reports and Data Management	10
Chapter 4: Goods and Services Tax (GST) in India	11
4.1 Evolution and Constitutional Framework	11
4.2 Structure of GST	11
4.3 Rate Structure and its Rationalisation	12
4.4 Registration and Composition Scheme	13
4.5 Supply, Invoicing and Valuation	14
4.6 Input Tax Credit (ITC)	14
4.7 Returns, Payment and Compliance Cycle	15
Chapter 5: Methodology	18
5.1 Research Approach	18
5.2 Sources of Data	18
5.3 Design of the Case Study	19

5.4 Tools and Techniques	19
Chapter 6: Case Study — M/s Bharat Traders	20
6.1 Transactions for the Month of April	20
6.2 Journal Entries and Tally Vouchers	21
6.3 Trial Balance	21
6.4 Financial Statements	22
6.5 GST Computation and Set-off	23
Chapter 7: Results and Discussion	25
7.1 Findings from the Case Study	25
7.2 Common Errors in Accounting and GST Compliance	25
7.3 Recent Developments	25
7.4 Career Scope	26
7.5 Discussion	26
Chapter 8: Conclusion and Future Scope	27
8.1 Conclusion	27
8.2 Limitations of the Study	27
8.3 Future Scope	27
References	28
Appendix A: Sample Viva-Voce Questions	29
Appendix B: TallyPrime Shortcut Keys	30
Appendix C: Glossary of Terms	31

LIST OF FIGURES

Figure	Page No.
Figure 1: Classification of accounts — traditional and modern approaches	4
Figure 2: The golden rules of accounting.....	4
Figure 3: The accounting cycle.....	5
Figure 4: Workflow of accounting in TallyPrime.....	7
Figure 5: Important predefined groups in TallyPrime and typical ledgers under them	8
Figure 6: Dual GST structure — CGST, SGST/UTGST and IGST.....	12
Figure 7: GST rate slabs before and after the September 2025 rationalisation	13
Figure 8: Structure of the Goods and Services Tax Identification Number (GSTIN)	13
Figure 9: Order of utilisation of input tax credit.....	15
Figure 10: The GST compliance cycle.....	16
Figure 11: Methodology adopted for the project.....	18
Figure 12: Flow of GST transactions in the case study	20

LIST OF TABLES

Table	Page No.
Table 1: Basic accounting concepts and conventions	3
Table 2: Predefined primary groups in TallyPrime	8
Table 3: Principal voucher types in TallyPrime and their use	9
Table 4: Principal GST returns and statements	16
Table 5: Transactions of M/s Bharat Traders for April (amounts in ₹)	20
Table 6: Journal entries and TallyPrime vouchers	21
Table 7: Trial balance of M/s Bharat Traders as on 30 April (₹)	22
Table 8: Trading and profit and loss account for the month ended 30 April (₹)	22
Table 9: Balance sheet of M/s Bharat Traders as on 30 April (₹)	23
Table 10: Computation of net GST payable for April (₹)	23
Table 11: Common errors and their consequences	25

LIST OF ABBREVIATIONS

Abbreviation	Full form
AS / Ind AS	Accounting Standards / Indian Accounting Standards
B2B / B2C	Business-to-Business / Business-to-Consumer
CBIC	Central Board of Indirect Taxes and Customs
CGST	Central Goods and Services Tax
CMP-08	Statement for composition taxpayers
GAAP	Generally Accepted Accounting Principles
GST	Goods and Services Tax
GSTIN	Goods and Services Tax Identification Number
GSTN	Goods and Services Tax Network
GSTR	Goods and Services Tax Return
HSN	Harmonised System of Nomenclature
ICAI	Institute of Chartered Accountants of India
IFF	Invoice Furnishing Facility
IGST	Integrated Goods and Services Tax
IMS	Invoice Management System
IRN	Invoice Reference Number
ITC	Input Tax Credit
PAN	Permanent Account Number
QRMP	Quarterly Return Monthly Payment scheme
RCM	Reverse Charge Mechanism
SAC	Services Accounting Code
SEZ	Special Economic Zone
SGST	State Goods and Services Tax
TDS	Tax Deducted at Source
UQC	Unit Quantity Code
UTGST	Union Territory Goods and Services Tax
VAT	Value Added Tax

CHAPTER 1**Introduction**

1.1 Background

Every business activity — buying, selling, borrowing, paying wages, collecting dues — has a financial dimension that must be recorded systematically. Accounting provides the framework for this recording and for communicating the results to owners, managers, lenders, investors and the government. In the pre-computer era, accounts were maintained manually in bound journals and ledgers; today, almost all businesses in India use accounting software, and TallyPrime (formerly Tally.ERP 9) developed by Tally Solutions Private Limited, Bengaluru, is among the most widely used packages, particularly among small and medium enterprises and practising accountants.

Alongside computerisation, the tax environment has changed fundamentally. The Goods and Services Tax, introduced through the Constitution (One Hundred and First Amendment) Act, 2016 and implemented from 1 July 2017, replaced a multitude of central and state indirect taxes — central excise duty, service tax, value added tax (VAT), central sales tax, entry tax, octroi, luxury tax and others — with a single destination-based tax on the supply of goods and services. GST compliance is entirely online, invoice-based and time-bound, so the accounting system of a business must be capable of generating GST-compliant invoices, tracking input tax credit and producing return data accurately.

This report therefore brings together the three components that a modern accountant needs: the principles of accounting, the practical use of TallyPrime, and the rules of GST.

1.2 Meaning and Scope of Accounting

The American Institute of Certified Public Accountants (AICPA) defined accounting as the art of recording, classifying and summarising, in a significant manner and in terms of money, transactions and events which are, in part at least, of a financial character, and interpreting the results thereof. The scope of accounting extends across several branches:

- **Financial accounting** — recording transactions and preparing the profit and loss account and balance sheet for external users.
- **Cost accounting** — ascertaining and controlling the cost of products, processes and services.
- **Management accounting** — providing information for planning, decision-making and control within the organisation.
- **Tax accounting** — computing income tax and GST liabilities and maintaining the records required by law.

- **Auditing** — independent examination of the accounts to express an opinion on their truth and fairness.

Book-keeping is the clerical part of accounting concerned only with recording; accounting goes further to classify, summarise, analyse and interpret. Computerised accounting applies software to the same principles, automating posting, balancing and report generation while reducing arithmetical errors.

1.3 Objectives of the Project

1. To study the basic concepts, conventions and principles of financial accounting and the double-entry system.
2. To understand the accounting cycle from the recording of transactions to the preparation of final accounts.
3. To learn the structure and operation of TallyPrime — company creation, masters, vouchers, inventory and reports.
4. To examine the framework of GST in India: levy, registration, invoicing, input tax credit, returns and compliance procedures.
5. To apply the above knowledge to a case study of a trading firm, recording GST transactions in TallyPrime and computing the net GST liability.
6. To identify the practical skills and career opportunities available in the field of accounting, Tally and GST.

1.4 Organisation of the Report

Chapter 2 reviews the fundamentals of financial accounting. Chapter 3 describes computerised accounting with TallyPrime. Chapter 4 explains the GST framework in India. Chapter 5 sets out the methodology adopted. Chapter 6 presents the case study with journal entries, financial statements and GST computation. Chapter 7 discusses the results, common errors, career scope and recent developments. Chapter 8 concludes the report and suggests its future scope, followed by references and appendices.

CHAPTER 2

Fundamentals of Financial Accounting

2.1 Accounting Concepts and Conventions

Accounting rests on a set of generally accepted accounting principles (GAAP) that ensure that financial statements are reliable and comparable. In India, these are formalised in the Accounting Standards (AS) and the Indian Accounting Standards (Ind AS) issued by the Institute of Chartered Accountants of India (ICAI) and notified under the Companies Act, 2013. The fundamental concepts are summarised in Table 1.

Table 1: Basic accounting concepts and conventions

Concept / Convention	Meaning	Practical implication
Business entity	The business is separate from its owner	Owner's personal expenses are treated as drawings, not business expenses
Money measurement	Only transactions measurable in money are recorded	Employee skill or goodwill of customers is not recorded unless purchased
Going concern	The business will continue for the foreseeable future	Assets are shown at cost less depreciation, not at liquidation value
Cost concept	Assets are recorded at their purchase cost	Market fluctuations are ignored in the books (except under Ind AS fair value rules)
Dual aspect	Every transaction has two effects — debit and credit	Foundation of the double-entry system; Assets = Liabilities + Capital
Accounting period	Life of the business is divided into periods (usually a financial year, 1 April – 31 March in India)	Profit is computed and returns are filed for each period
Matching	Expenses are matched with the revenues of the same period	Outstanding and prepaid expenses, accrued income are adjusted
Accrual	Revenue and expenses are recognised when earned or incurred, not when cash moves	Credit sales are recorded as revenue at the time of sale
Conservatism (prudence)	Anticipate no profit but provide for all possible losses	Closing stock is valued at cost or net realisable value, whichever is lower
Consistency	Same methods are followed from period to period	Depreciation method is not changed without disclosure
Materiality	Only significant items need separate disclosure	Small stationery purchases are expensed, not capitalised
Full disclosure	All material facts must be disclosed	Contingent liabilities are shown as notes to accounts

2.2 The Double-Entry System and Classification of Accounts

The double-entry system, described by the Italian mathematician Luca Pacioli in 1494, is based on the dual aspect concept: every transaction affects at least two accounts, one of which is debited and the other credited with an equal amount. Consequently the total of debits always equals the total of credits, and the accounting equation $\text{Assets} = \text{Liabilities} + \text{Capital}$ always holds.

Accounts are classified under the traditional (British) approach into personal, real and nominal accounts, and under the modern (American) approach into assets, liabilities, capital, revenues and expenses (Figure 1).

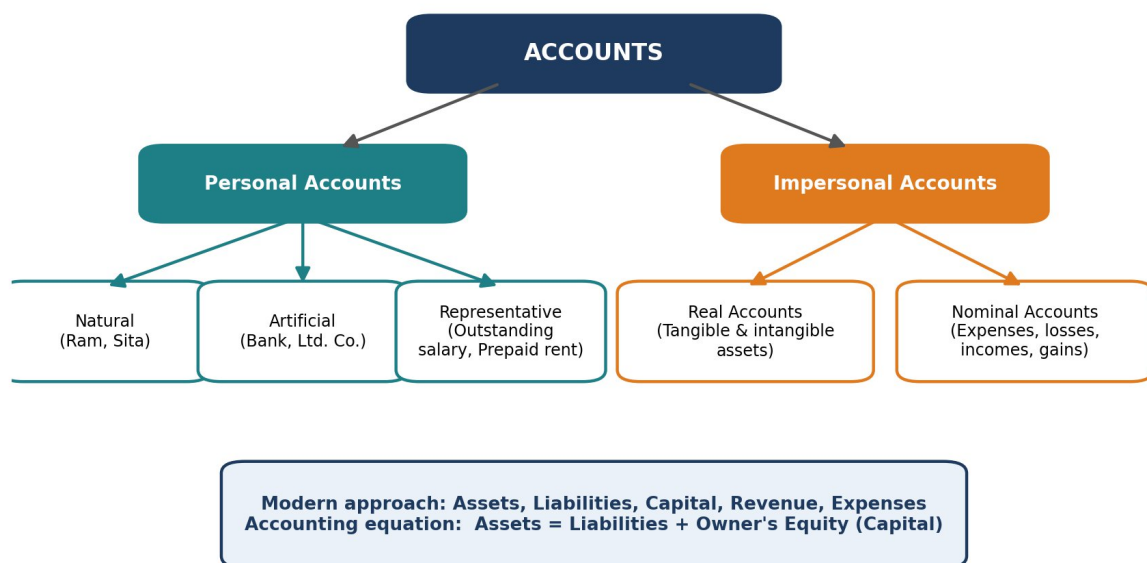


Figure 1: Classification of accounts — traditional and modern approaches

The rules for debiting and crediting under the traditional approach are known as the golden rules of accounting (Figure 2). Under the modern approach, an increase in assets or expenses is debited and a decrease is credited, while an increase in liabilities, capital or revenue is credited and a decrease is debited.

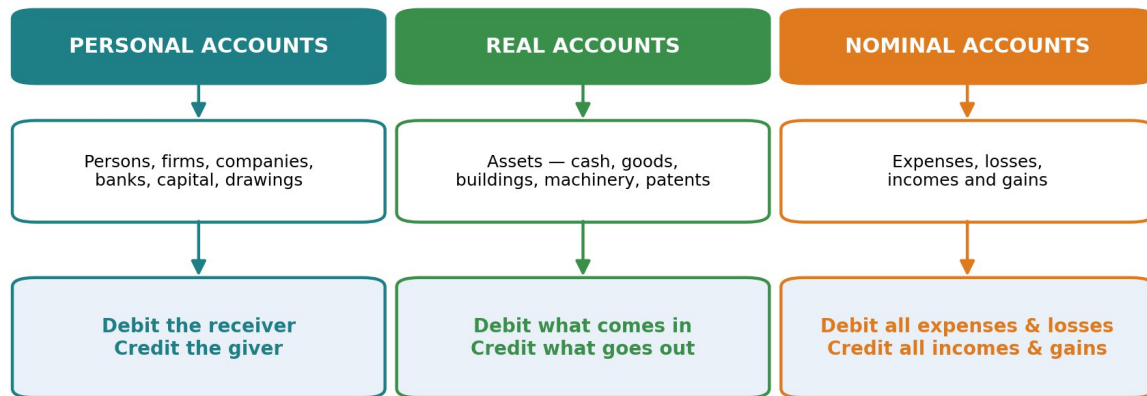


Figure 2: The golden rules of accounting

2.3 The Accounting Cycle

The accounting cycle is the sequence of steps repeated every accounting period to convert raw transactions into financial statements (Figure 3). In a computerised system such as TallyPrime, steps 2 to 7 are automated: once a voucher is entered, posting to ledgers, balancing, trial balance and the final accounts are updated instantly.



Figure 3: The accounting cycle

1. **Source documents:** invoices, receipts, bank statements, vouchers and contracts provide evidence of transactions.
2. **Journal:** the book of original entry in which transactions are recorded chronologically with a narration. Special-purpose subsidiary books — purchase book, sales book, cash book, purchase returns, sales returns and journal proper — are used for large volumes.
3. **Ledger:** the principal book in which entries are classified account-wise; each account is balanced periodically.
4. **Trial balance:** a list of all ledger balances on a date; equality of the debit and credit columns provides an arithmetical check.
5. **Adjustments:** closing stock, depreciation, outstanding and prepaid expenses, accrued and unearned income, bad debts and provisions.
6. **Financial statements:** the trading and profit and loss account (income statement) shows gross and net profit; the balance sheet shows assets, liabilities and capital on the closing date; companies also prepare a cash flow statement.
7. **Closing entries:** nominal accounts are closed by transfer to the profit and loss account; balances of real and personal accounts are carried forward.

2.4 Financial Statements

The trading account computes gross profit as net sales less cost of goods sold (opening stock + purchases + direct expenses – closing stock). The profit and loss account deducts indirect expenses (office, selling, financial expenses, depreciation) and adds other incomes to arrive at net profit, which is transferred to the capital account. The balance sheet presents the financial position: on the liabilities side, capital, reserves, long-term loans and current liabilities; on the assets side, fixed assets, investments, current assets and fictitious assets, arranged either in order of permanence or of liquidity. Under Schedule III of the Companies Act, 2013, companies must present these statements in a prescribed vertical format.

CHAPTER 3

Computerised Accounting with TallyPrime

3.1 Introduction to Tally

Tally was first released in 1986 by Peutronics (now Tally Solutions Private Limited) as a simple accounting package for small businesses. Successive versions — Tally 4.5, 5.4, 6.3, 7.2, 8.1, 9, Tally.ERP 9 (2009) and TallyPrime (November 2020) — added inventory management, payroll, multi-currency, statutory compliance (VAT, TDS, GST), remote access and data synchronisation. TallyPrime is a Windows-based application with a keyboard-driven interface, a single 'Go To' search bar (Alt+G) for navigation, and built-in GST, TDS and e-invoicing capabilities. Its data is stored in a proprietary format in a company folder, and it can be used in single-user (Silver) or multi-user (Gold) licences, with a free Educational mode for learning.

The advantages of computerised accounting over manual accounting include speed and accuracy of posting, automatic balancing, instant generation of reports, easy correction and audit trails, storage of large volumes of data, and direct generation of statutory returns. The overall workflow in TallyPrime is shown in Figure 4.



Figure 4: Workflow of accounting in TallyPrime

3.2 Company Creation and Configuration

Work in TallyPrime begins with the creation of a company (Alt+K > Create), which stores the name, mailing address, state, country, financial year beginning date, books beginning date, base currency and security settings. The company features (F11) are then configured: maintaining accounts only or accounts with inventory, enabling GST, TDS, cost centres, budgets, interest calculation, multiple currencies and payroll. Under GST details, the user enters the state, registration type (regular or composition), GSTIN, applicability date, and whether e-way bill and e-invoicing apply. Correct configuration at this stage ensures that all subsequent vouchers capture the information needed for GST returns.

3.3 Masters: Groups, Ledgers and Inventory

Masters are the permanent data structures on which transactions are recorded. TallyPrime provides 28 predefined groups — 15 primary groups and 13 sub-groups — that determine where a ledger appears in the profit and loss account or balance sheet (Figure 5). The user creates ledgers under the appropriate group; for example, a customer's account under Sundry Debtors, a supplier under Sundry Creditors, sales under Sales Accounts, and the GST tax ledgers (CGST, SGST, IGST) under Duties & Taxes with the type of duty set to GST.

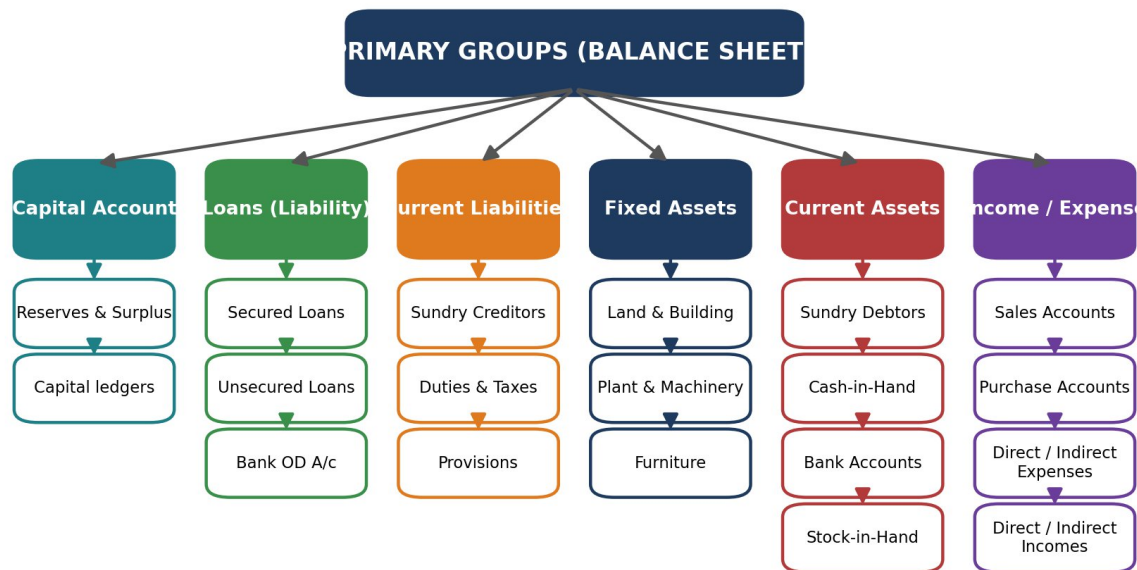


Figure 5: Important predefined groups in TallyPrime and typical ledgers under them

Table 2: Predefined primary groups in TallyPrime

Balance sheet groups	Nature	Profit & loss groups	Nature
Capital Account (sub: Reserves & Surplus)	Liability	Sales Accounts	Income
Loans (Liability) (sub: Bank OD A/c, Secured Loans, Unsecured Loans)	Liability	Purchase Accounts	Expense
Current Liabilities (sub: Duties & Taxes, Provisions, Sundry Creditors)	Liability	Direct Incomes	Income
Suspense Account	Liability	Direct Expenses	Expense
Branch / Divisions	Liability	Indirect Incomes	Income
Fixed Assets	Asset	Indirect Expenses	Expense
Investments	Asset		
Current Assets (sub: Bank Accounts, Cash-in-Hand, Deposits (Asset), Loans & Advances (Asset), Stock-in-Hand, Sundry Debtors)	Asset		

Balance sheet groups	Nature	Profit & loss groups	Nature
Misc. Expenses (Asset)	Asset		

When accounts with inventory are maintained, inventory masters are also created: stock groups (e.g. Electronics), stock categories, units of measure (Nos, Kg, Ltr — with UQC codes for GST), godowns and stock items. Each stock item carries its HSN code, GST rate and opening balance, so that invoices automatically compute tax and stock reports show quantities and values.

3.4 Voucher Entry

A voucher is the document that records a transaction. TallyPrime provides predefined accounting, inventory and order vouchers, each with a shortcut key (Table 3). Vouchers may be entered in single-entry or double-entry mode, and the software prevents an unbalanced entry from being saved. Every voucher stores the date, ledger accounts, amounts, narration and, for GST transactions, the party GSTIN, place of supply, HSN/SAC and tax breakup.

Table 3: Principal voucher types in TallyPrime and their use

Voucher	Shortcut	Used for	Example
Contra	F4	Transfers between cash and bank accounts	Cash deposited into bank
Payment	F5	Payments made by cash or bank	Rent paid by cheque
Receipt	F6	Money received	Cash received from a debtor
Journal	F7	Non-cash adjustments	Depreciation, outstanding expenses
Sales	F8	Sale of goods or services (GST invoice)	Credit sale to a customer
Purchase	F9	Purchase of goods or services	Credit purchase from a supplier
Debit Note	Alt+F5	Purchase returns / reduction in supplier's bill	Goods returned to supplier
Credit Note	Alt+F6	Sales returns / reduction in customer's bill	Goods returned by customer
Stock Journal	Alt+F7	Transfer or conversion of stock	Transfer between godowns
Physical Stock	Ctrl+F7	Recording actual stock count	Year-end stock verification
Memorandum	Ctrl+F10	Non-accounting reminders	Provisional entries

3.5 GST in TallyPrime

Once GST is enabled, TallyPrime handles compliance at three levels. At the master level, GST rates and HSN/SAC codes may be set at the company, group, ledger or stock-item level, and party ledgers store the GSTIN and registration type. At the transaction level, the software determines whether a supply is intra-state or inter-state by comparing the company's state with the place of supply and automatically applies CGST + SGST or IGST; it also flags reverse-charge supplies, exempt and nil-rated items and ineligible input tax credit. At the reporting level, the GST reports (Gateway of Tally > Display More Reports > GST Reports) show GSTR-1, GSTR-3B, GSTR-2A/2B reconciliation, the GST CMP-08 for composition dealers, the e-way bill report and the annual computation; return data can be exported in JSON format for upload to the GST portal or filed directly through TallyPrime's connected services. E-invoices with IRN and QR code can be generated from within the sales voucher for businesses to which e-invoicing applies.

3.6 Reports and Data Management

TallyPrime generates all financial reports instantly from the voucher data: the balance sheet, profit and loss account, trial balance, day book, cash and bank books, ledger accounts, receivables and payables with ageing analysis, stock summary, movement analysis, ratio analysis and cash flow / funds flow statements. Reports can be viewed for any period, drilled down to the voucher level, compared across periods, and exported to Excel, PDF, JPEG or XML, or e-mailed. Security is provided through user roles and passwords, and data can be backed up, restored, split at the year-end and synchronised between locations. The audit features (Tally Audit) track alterations to vouchers and masters, which is important for statutory and internal audits.

CHAPTER 4**Goods and Services Tax (GST) in India**

4.1 Evolution and Constitutional Framework

Before 2017, indirect taxes in India were levied separately by the Centre (central excise duty on manufacture, service tax on services, customs duty on imports, central sales tax on inter-state sales) and by the States (VAT on intra-state sales, entry tax, octroi, luxury tax, entertainment tax). This led to a cascading effect — tax on tax — because credit of central taxes could not be set off against state taxes and vice versa, and created barriers to inter-state trade. The idea of a unified GST was first mooted in 2000, recommended by the Kelkar Task Force in 2003 and announced in the Union Budget of 2006–07.

The Constitution (One Hundred and First Amendment) Act, 2016 inserted Article 246A giving concurrent powers to Parliament and State legislatures to levy GST, Article 269A on inter-state supply and Article 279A constituting the GST Council. The Council, chaired by the Union Finance Minister with the State finance ministers as members, recommends rates, exemptions, thresholds and procedures. Four Acts were passed in 2017 — the Central GST Act, the Integrated GST Act, the Union Territory GST Act and the GST (Compensation to States) Act — and each State enacted its own SGST Act. GST came into force on 1 July 2017 (8 July 2017 in Jammu and Kashmir).

4.2 Structure of GST

India follows a dual GST model in which the Centre and the States levy tax concurrently on the same base (Figure 6). On an intra-state supply, CGST is levied by the Centre and SGST (or UTGST in Union Territories without a legislature) by the State, each at half of the applicable rate. On an inter-state supply — including imports and supplies to or from Special Economic Zones — IGST is levied by the Centre at the full rate and the revenue is apportioned to the destination State, making GST a destination-based consumption tax. Exports are zero-rated: no tax is payable and the exporter may claim a refund of input tax credit or export under a letter of undertaking.

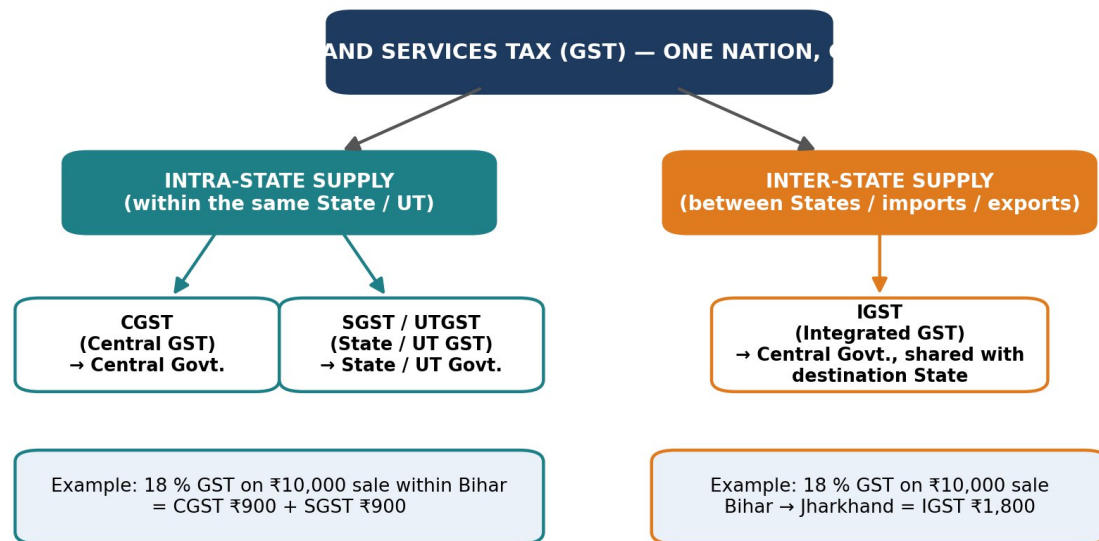


Figure 6: Dual GST structure — CGST, SGST/UTGST and IGST

GST applies to the 'supply' of goods or services for consideration in the course of business, including sale, transfer, barter, exchange, licence, rental, lease and disposal, and certain supplies without consideration listed in Schedule I. Alcoholic liquor for human consumption is outside GST; petroleum crude, motor spirit, high-speed diesel, natural gas and aviation turbine fuel are to be brought under GST from a date to be notified on the recommendation of the Council and meanwhile continue to attract excise duty and VAT. Electricity and stamp duty on immovable property also remain outside GST.

4.3 Rate Structure and its Rationalisation

From July 2017 GST was levied at four main rates — 5, 12, 18 and 28 per cent — in addition to a nil rate for essential goods, special rates of 0.25 per cent (rough diamonds) and 3 per cent (gold, silver, jewellery), and a compensation cess on luxury and demerit goods such as motor cars, aerated drinks, tobacco and pan masala. The 56th meeting of the GST Council held on 3 September 2025 approved a major rationalisation, effective from 22 September 2025, which collapsed the 12 and 28 per cent slabs so that most goods and services now fall in a merit rate of 5 per cent or a standard rate of 18 per cent, with a special rate of 40 per cent for selected luxury and demerit goods (Figure 7). Many items of daily use, health insurance and life insurance, and several medicines were moved to nil or 5 per cent. Students should always verify the current rate of a particular item from the rate schedules and notifications on the GST portal, since rates are revised from time to time.

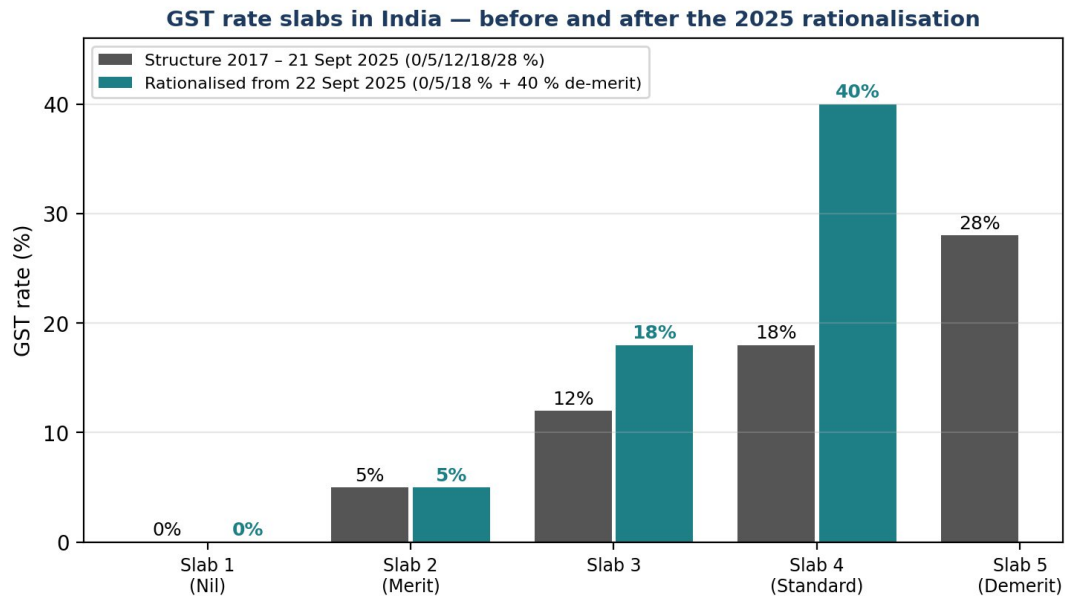
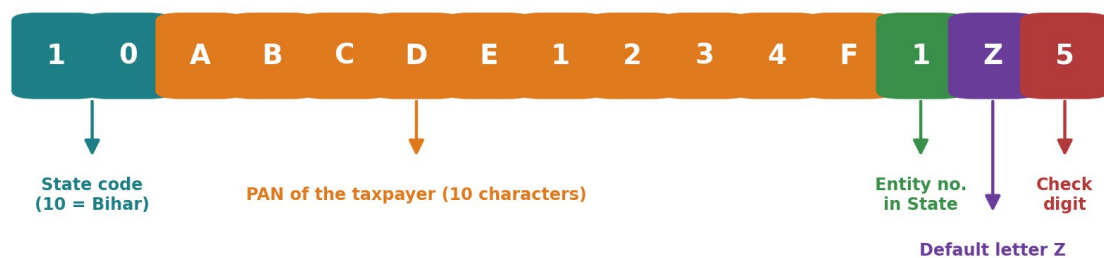


Figure 7: GST rate slabs before and after the September 2025 rationalisation

4.4 Registration and Composition Scheme

Every supplier whose aggregate turnover in a financial year exceeds the threshold must obtain registration in each State from which taxable supplies are made. The threshold is ₹40 lakh for suppliers exclusively of goods in most States (₹20 lakh in the special-category States of the North-East and some others that opted for the lower limit) and ₹20 lakh for suppliers of services (₹10 lakh in special-category States). Registration is compulsory irrespective of turnover for inter-state suppliers of goods, casual and non-resident taxable persons, persons liable under reverse charge, e-commerce operators and persons supplying through them, input service distributors and agents. Registration is obtained online through Form GST REG-01 with PAN, Aadhaar, proof of business and bank details, and results in a 15-character GSTIN (Figure 8).



Structure of the 15-character GST Identification Number (GSTIN)

Figure 8: Structure of the Goods and Services Tax Identification Number (GSTIN)

Small taxpayers may opt for the composition scheme under Section 10 of the CGST Act if their aggregate turnover in the preceding financial year did not exceed ₹1.5 crore (₹75 lakh in certain special-category States). A composition dealer pays tax at a flat rate on turnover — 1 per cent for

manufacturers and traders, 5 per cent for restaurant services and 6 per cent for other service providers with turnover up to ₹50 lakh — cannot collect tax from customers or claim input tax credit, cannot make inter-state outward supplies, files a quarterly statement (CMP-08) and an annual return (GSTR-4), and must mention 'composition taxable person' on the bill of supply.

4.5 Supply, Invoicing and Valuation

The time of supply determines when the liability to pay tax arises: for goods, generally the earlier of the date of invoice (or the last date by which it should have been issued) and the date of receipt of payment; for services, the date of invoice if issued within 30 days of the service, otherwise the date of provision. The place of supply — the location of the goods at delivery, or the location of the recipient for most services — determines whether the supply is intra-state or inter-state.

A registered person must issue a tax invoice containing the prescribed particulars: name, address and GSTIN of the supplier; consecutive serial number and date; name, address and GSTIN of the recipient; HSN code of goods or SAC of services; description, quantity and unit; taxable value; rate and amount of CGST, SGST/UTGST or IGST; place of supply; whether tax is payable on reverse charge; and the signature of the supplier. Composition dealers and suppliers of exempt goods issue a bill of supply instead. A debit note is issued when the taxable value or tax charged is found to be less than the correct amount and a credit note when it is more or on sales return. For businesses with aggregate turnover above ₹5 crore in any financial year from 2017–18, e-invoicing is mandatory (from 1 August 2023): the invoice details are uploaded to the Invoice Registration Portal, which returns a unique Invoice Reference Number (IRN) and a QR code. Movement of goods worth more than ₹50,000 requires an e-way bill generated on the e-way bill portal (Rule 138).

Value of supply is the transaction value — the price actually paid or payable — including taxes other than GST, incidental expenses, interest for delayed payment and subsidies linked to price, but excluding discounts given before or at the time of supply and post-supply discounts agreed in advance.

4.6 Input Tax Credit (ITC)

Input tax credit is the mechanism that eliminates cascading: a registered person may reduce the tax paid on inputs, input services and capital goods used in the course of business from the tax payable on outward supplies. Under Section 16 of the CGST Act, ITC is available only if (i) the person possesses a tax invoice or debit note; (ii) the goods or services have been received; (iii) the supplier has actually paid the tax to the Government and reported the invoice, so that it appears in the recipient's auto-generated statement GSTR-2B; (iv) the recipient has filed the return; and (v) payment to the supplier is made within 180 days, failing which the credit is

reversed with interest. Credit for an invoice must be claimed by 30 November following the end of the financial year or the date of filing the annual return, whichever is earlier.

Section 17(5) blocks credit on certain items: motor vehicles for transport of persons with seating capacity up to 13 (except when used for further supply, passenger transport, driving schools or transport of goods); food and beverages, outdoor catering, beauty treatment, health services, club membership and travel benefits to employees (unless obligatory under law); works contract and construction services for immovable property (other than plant and machinery); goods lost, stolen, destroyed, written off or given as gifts or free samples; and goods or services used for personal consumption. Where inputs are used partly for taxable and partly for exempt supplies, credit must be apportioned under Rules 42 and 43.

Credit is utilised in the statutory order shown in Figure 9: IGST credit is first used against IGST liability and then against CGST and SGST in any order, and must be exhausted before CGST or SGST credit is used; CGST credit is used against CGST and then IGST; SGST credit against SGST and then IGST. CGST credit can never be set off against SGST liability or vice versa. Balances are maintained on the GST portal in the Electronic Credit Ledger, while cash deposits are held in the Electronic Cash Ledger.

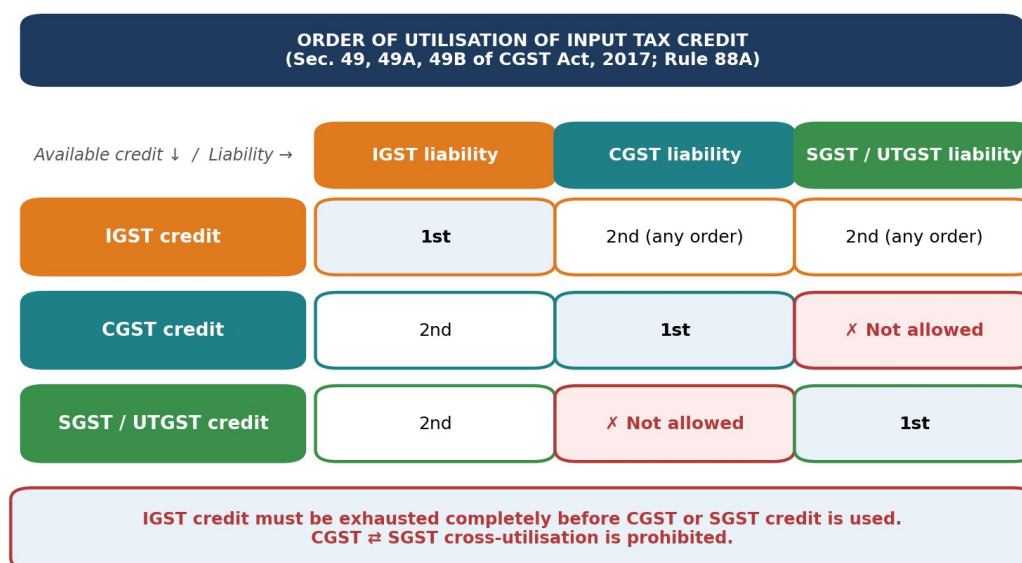


Figure 9: Order of utilisation of input tax credit

4.7 Returns, Payment and Compliance Cycle

GST compliance is a monthly (or quarterly) cycle of invoicing, reporting and payment (Figure 10). The principal returns are summarised in Table 4. Taxpayers with aggregate turnover up to ₹5 crore may opt for the Quarterly Return Monthly Payment (QRMP) scheme, filing GSTR-1 and GSTR-3B quarterly while paying tax monthly through Form PMT-06 and optionally uploading B2B invoices monthly through the Invoice Furnishing Facility (IFF). Late filing attracts a late fee per day

under the CGST and SGST Acts and interest at 18 per cent per annum on tax paid late (24 per cent on excess ITC wrongly availed). Since the return system is sequential, GSTR-3B cannot be filed unless GSTR-1 for the period has been filed.



Figure 10: The GST compliance cycle

Table 4: Principal GST returns and statements

Form	Who files	Contents	Frequency and due date
GSTR-1	Regular taxpayers	Details of outward supplies (B2B invoice-wise, B2C summary, exports, credit/debit notes, HSN summary)	Monthly by 11th of next month; quarterly (QRMP) by 13th of the month after the quarter
GSTR-2A / GSTR-2B	Auto-generated	Inward supplies as reported by suppliers; GSTR-2B is the static statement on which ITC is claimed	Monthly; GSTR-2B generated on the 14th
GSTR-3B	Regular taxpayers	Summary of outward supplies, ITC claimed, tax payable and paid	Monthly by 20th of next month; quarterly (QRMP) by 22nd/24th
CMP-08	Composition dealers	Statement of turnover and tax payable	Quarterly by 18th of the month after the quarter
GSTR-4	Composition dealers	Annual return	Annually by 30 June following the financial year

Form	Who files	Contents	Frequency and due date
GSTR-9	Regular taxpayers (mandatory if turnover > ₹2 crore)	Annual return consolidating the year's data	By 31 December following the financial year
GSTR-9C	Taxpayers with turnover > ₹5 crore	Self-certified reconciliation statement between audited accounts and GSTR-9	By 31 December following the financial year
ITC-04, GSTR-6, GSTR-7, GSTR-8	Job-work principals, input service distributors, TDS deductors, e-commerce operators	Special-purpose returns	As prescribed

Tax is paid by generating a challan (Form PMT-06) on the GST portal and remitting through net banking, NEFT/RTGS, UPI, debit card or over the counter (up to ₹10,000). Records must be maintained for 72 months from the due date of the annual return. Assessment may be self-assessment, provisional, scrutiny or best-judgement; the Act also provides for audit, demand and recovery, refunds (to be claimed within two years), appeals to the Appellate Authority and the GST Appellate Tribunal, and penalties for offences such as issuing invoices without supply or availing fraudulent credit.

CHAPTER 5

Methodology

5.1 Research Approach

The project follows a descriptive and applied approach. The conceptual portion is based on a systematic study of secondary sources, while the practical portion involves hands-on work in TallyPrime (Educational mode) on a constructed case study. The sequence of activities is shown in Figure 11.

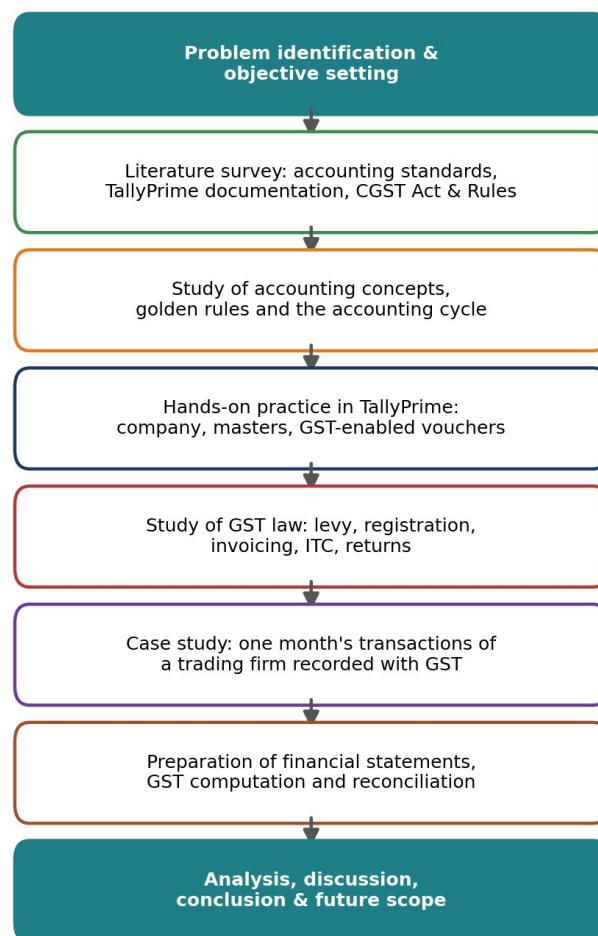


Figure 11: Methodology adopted for the project

5.2 Sources of Data

- **Statutes and rules:** the Central Goods and Services Tax Act, 2017, the Integrated Goods and Services Tax Act, 2017, the CGST Rules, 2017 and the notifications and circulars issued by the Central Board of Indirect Taxes and Customs (CBIC), accessed from cbic-gst.gov.in and gst.gov.in.
- **Standard textbooks** on financial accounting and on Tally / GST (see References).

- **Software documentation:** the TallyPrime help portal (help.tallysolutions.com) and in-software tutorials.
- **GST Council press releases** and the CBIC rate schedules for the rate structure applicable from 22 September 2025.

All statutory thresholds, due dates and rates quoted in this report were cross-checked against the official portals at the time of writing; since these are amended frequently, the reader should confirm the current position before applying them.

5.3 Design of the Case Study

A hypothetical trading firm, M/s Bharat Traders, Patna (Bihar, State code 10), registered under the regular scheme, was assumed to have started business on 1 April with ten representative transactions during the month: introduction of capital, intra-state and inter-state credit purchases, purchase of a fixed asset, intra-state and inter-state sales on credit and for cash, payment of rent with GST, payment of salaries, and settlement with a debtor and a creditor. A uniform GST rate of 18 per cent was assumed for all taxable supplies for simplicity. The transactions were recorded in TallyPrime using GST-enabled ledgers and vouchers, and the resulting reports were compared with manually prepared statements.

5.4 Tools and Techniques

- Journalising under the double-entry system and preparation of ledger balances and trial balance.
- Voucher entry in TallyPrime with automatic computation of CGST/SGST and IGST.
- Preparation of the trading and profit and loss account and balance sheet.
- Computation of output tax, eligible input tax credit and net liability using the statutory set-off order.
- Mapping of the figures to the tables of GSTR-1 and GSTR-3B.

CHAPTER 6

Case Study — M/s Bharat Traders

6.1 Transactions for the Month of April

Table 5 lists the transactions. Local supplies (within Bihar) attract CGST 9 per cent and SGST 9 per cent; supplies to or from other States attract IGST 18 per cent. The flow of a GST transaction from purchase to payment of tax is shown in Figure 12.

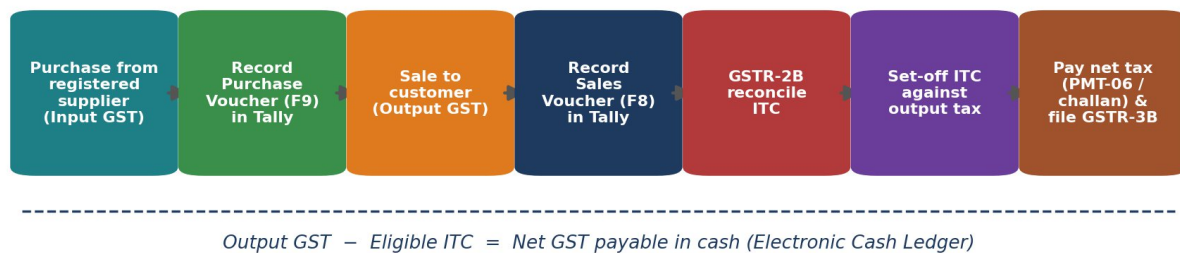


Figure 12: Flow of GST transactions in the case study

Table 5: Transactions of M/s Bharat Traders for April (amounts in ₹)

Date	Transaction	Taxable value	GST	Total
1 Apr	Commenced business with capital deposited in bank	5,00,000	—	5,00,000
3 Apr	Purchased goods on credit from Patna Enterprises (Bihar) — intra-state	2,00,000	CGST 18,000 + SGST 18,000	2,36,000
5 Apr	Purchased goods on credit from Kolkata Traders (West Bengal) — inter-state	1,00,000	IGST 18,000	1,18,000
8 Apr	Purchased office furniture from local dealer, paid by bank	40,000	CGST 3,600 + SGST 3,600	47,200
12 Apr	Sold goods on credit to Gaya Stores (Bihar) — intra-state	1,80,000	CGST 16,200 + SGST 16,200	2,12,400
18 Apr	Sold goods on credit to Ranchi Mart (Jharkhand) — inter-state	1,50,000	IGST 27,000	1,77,000
20 Apr	Paid office rent to local landlord (registered) by bank	20,000	CGST 1,800 + SGST 1,800	23,600
25 Apr	Cash sales to local customers — intra-state	60,000	CGST 5,400 + SGST 5,400	70,800
28 Apr	Received full payment from Gaya Stores by bank; paid Patna Enterprises in full by bank	—	—	2,12,400 / 2,36,000

Date	Transaction	Taxable value	GST	Total
30 Apr	Paid salaries by bank (no GST)	25,000	—	25,000
30 Apr	Closing stock valued at cost	1,10,000	—	—

6.2 Journal Entries and Tally Vouchers

Table 6 shows the journal entries and the corresponding TallyPrime voucher for each transaction. In TallyPrime, the GST amounts are computed automatically when the party ledger has a valid GSTIN and state, the item or sales/purchase ledger has a GST rate, and the CGST/SGST/IGST ledgers are created under Duties & Taxes.

Table 6: Journal entries and TallyPrime vouchers

Date	Journal entry (Dr. / Cr.)	Amount ₹	Tally voucher
1 Apr	Bank A/c Dr. — To Capital A/c	5,00,000	Receipt (F6)
3 Apr	Purchases A/c Dr. 2,00,000; Input CGST A/c Dr. 18,000; Input SGST A/c Dr. 18,000 — To Patna Enterprises	2,36,000	Purchase (F9)
5 Apr	Purchases A/c Dr. 1,00,000; Input IGST A/c Dr. 18,000 — To Kolkata Traders	1,18,000	Purchase (F9)
8 Apr	Furniture A/c Dr. 40,000; Input CGST A/c Dr. 3,600; Input SGST A/c Dr. 3,600 — To Bank A/c	47,200	Purchase (F9) in accounting-invoice mode / Payment (F5)
12 Apr	Gaya Stores Dr. 2,12,400 — To Sales A/c 1,80,000; To Output CGST 16,200; To Output SGST 16,200	2,12,400	Sales (F8)
18 Apr	Ranchi Mart Dr. 1,77,000 — To Sales A/c 1,50,000; To Output IGST 27,000	1,77,000	Sales (F8)
20 Apr	Rent A/c Dr. 20,000; Input CGST A/c Dr. 1,800; Input SGST A/c Dr. 1,800 — To Bank A/c	23,600	Payment (F5) / Purchase (F9) for service
25 Apr	Cash A/c Dr. 70,800 — To Sales A/c 60,000; To Output CGST 5,400; To Output SGST 5,400	70,800	Sales (F8) — cash
28 Apr	Bank A/c Dr. — To Gaya Stores	2,12,400	Receipt (F6)
28 Apr	Patna Enterprises Dr. — To Bank A/c	2,36,000	Payment (F5)
30 Apr	Salaries A/c Dr. — To Bank A/c	25,000	Payment (F5)

6.3 Trial Balance

After posting, the ledger balances on 30 April are listed in Table 7. The equality of the two columns confirms the arithmetical accuracy of the entries; in TallyPrime the same figures appear under Gateway of Tally > Trial Balance.

Table 7: Trial balance of M/s Bharat Traders as on 30 April (₹)

Ledger (Tally group)	Debit	Credit
Bank A/c (Bank Accounts)	3,80,600	
Cash A/c (Cash-in-Hand)	70,800	
Ranchi Mart (Sundry Debtors)	1,77,000	
Furniture (Fixed Assets)	40,000	
Purchases (Purchase Accounts)	3,00,000	
Rent (Indirect Expenses)	20,000	
Salaries (Indirect Expenses)	25,000	
Input CGST (Duties & Taxes)	23,400	
Input SGST (Duties & Taxes)	23,400	
Input IGST (Duties & Taxes)	18,000	
Capital (Capital Account)		5,00,000
Kolkata Traders (Sundry Creditors)		1,18,000
Sales (Sales Accounts)		3,90,000
Output CGST (Duties & Taxes)		21,600
Output SGST (Duties & Taxes)		21,600
Output IGST (Duties & Taxes)		27,000
TOTAL	10,78,200	10,78,200

6.4 Financial Statements

Table 8: Trading and profit and loss account for the month ended 30 April (₹)

Particulars	Amount	Particulars	Amount
To Purchases	3,00,000	By Sales	3,90,000
To Gross profit c/d	2,00,000	By Closing stock	1,10,000
	5,00,000		5,00,000
To Rent	20,000	By Gross profit b/d	2,00,000
To Salaries	25,000		
To Net profit (transferred to Capital)	1,55,000		
	2,00,000		2,00,000

Table 9: Balance sheet of M/s Bharat Traders as on 30 April (₹)

Liabilities	Amount	Assets	Amount
Capital 5,00,000		Furniture	40,000
Add: Net profit 1,55,000	6,55,000	Closing stock	1,10,000
Sundry creditors (Kolkata Traders)	1,18,000	Sundry debtors (Ranchi Mart)	1,77,000
GST payable (net IGST — see Table 10)	5,400	Cash in hand	70,800
		Bank balance	3,80,600
TOTAL	7,78,400	TOTAL	7,78,400

Note: depreciation on furniture and other month-end adjustments have been ignored for simplicity; in practice, depreciation would be charged at the rates in Schedule II of the Companies Act, 2013 or the Income-tax Act, 1961.

6.5 GST Computation and Set-off

Output tax collected on sales and input tax paid on purchases and expenses are summarised in Table 10. Credit on the furniture is eligible because it is a capital good used in business, and credit on rent is eligible because the landlord is registered and the premises are used for business. Applying the set-off order of Figure 9, IGST credit of ₹18,000 is first used against IGST liability, then the surplus CGST and SGST credits of ₹1,800 each are used against the remaining IGST liability, leaving ₹5,400 to be paid in cash.

Table 10: Computation of net GST payable for April (₹)

Particulars	IGST	CGST	SGST	Total
Output tax on sales (1,50,000 × 18 %; 2,40,000 × 9 % each)	27,000	21,600	21,600	70,200
Less: ITC — purchases of goods	18,000	18,000	18,000	54,000
Less: ITC — furniture (capital goods)	—	3,600	3,600	7,200
Less: ITC — rent (input service)	—	1,800	1,800	3,600
Total eligible ITC	18,000	23,400	23,400	64,800
Liability after own-head set-off	9,000	(1,800) surplus	(1,800) surplus	
Cross-utilisation of CGST and SGST surplus against IGST	(3,600)	—	—	
Net tax payable in cash (Electronic Cash Ledger)	5,400	Nil	Nil	5,400

The figures reconcile: total output tax ₹70,200 less total ITC ₹64,800 equals ₹5,400, which also equals the net balance of the Duties & Taxes group in the balance sheet. In the GSTR-3B return, Table 3.1(a) would show taxable outward supplies of ₹3,90,000 with IGST ₹27,000, CGST ₹21,600 and SGST ₹21,600; Table 4(A)(5) would show 'all other ITC' of IGST ₹18,000, CGST ₹23,400 and SGST ₹23,400; and Table 6.1 would show tax paid through ITC and ₹5,400 IGST paid in cash. GSTR-1 would report the two B2B invoices (Gaya Stores and Ranchi Mart) invoice-wise in Table 4A and the cash sales in Table 7 (B2C small) with the HSN-wise summary in Table 12.

CHAPTER 7

Results and Discussion

7.1 Findings from the Case Study

The case study demonstrates the complete linkage between accounting entries and GST compliance. Each GST-bearing voucher generates simultaneous entries in the expense or revenue ledger and in the tax ledgers under Duties & Taxes, so that the trial balance, financial statements and GST returns are drawn from a single set of data. The comparison between the manually prepared statements and the TallyPrime reports showed identical figures, confirming that correct master configuration (state, GSTIN, tax rates and ledger grouping) is the key to accurate automated compliance. The exercise also showed how inter-state and intra-state transactions produce different tax ledgers and how the statutory set-off order can leave a cash liability under one head even when total credit is close to total output tax.

7.2 Common Errors in Accounting and GST Compliance

Table 11: Common errors and their consequences

Error	Consequence	Preventive control
Wrong place of supply / State in party master	CGST+SGST charged instead of IGST or vice versa; tax paid under wrong head must be paid again under the correct head and refund claimed	Verify GSTIN and State on the GST portal before creating the ledger
Claiming ITC not reflected in GSTR-2B	Reversal with interest at 24 %; notice under Section 73/74	Monthly reconciliation of purchase register with GSTR-2B
Claiming blocked credit (Sec. 17(5))	Reversal with interest and penalty	Mark ineligible ITC in the purchase voucher
Not paying supplier within 180 days	ITC reversed with interest	Ageing report of payables in Tally
Late filing of GSTR-1 / GSTR-3B	Late fee per day and interest at 18 %; customers cannot claim ITC	Compliance calendar and reminders
Incorrect HSN / SAC or rate	Short payment, demand and penalty	Rate set at stock-item level and reviewed after each rate change
Not issuing e-invoice where applicable	Invoice treated as invalid; recipient denied ITC; penalty	Enable e-invoicing in Tally once turnover crosses ₹5 crore
Wrong ledger grouping	Misstatement of profit or financial position	Review of groups before finalisation

7.3 Recent Developments

- **Rate rationalisation (22 September 2025):** movement to a two-rate structure of 5 and 18 per cent with a 40 per cent rate for selected luxury and demerit goods, requiring businesses to update rates in their accounting software and reprice stock.
- **Invoice Management System (IMS):** a facility on the GST portal (from October 2024) allowing recipients to accept, reject or keep pending each supplier invoice before it flows into GSTR-2B.
- **Sequential and locked returns:** GSTR-3B liability is auto-populated from GSTR-1 / IFF and hard-locking of auto-populated values has been phased in, making accuracy in GSTR-1 essential.
- **Biometric Aadhaar authentication** for new registrations in many States to curb fake registrations.
- **GST Appellate Tribunal:** constitution of the tribunal benches to hear appeals against orders of the appellate authorities.
- **Connected accounting software:** TallyPrime and other packages now support direct filing of returns, e-invoice and e-way bill generation and GSTIN validation from within the software.

7.4 Career Scope

Proficiency in accounting, Tally and GST opens employment as accounts executive, accountant, GST practitioner (after passing the examination conducted by NACIN and enrolment under Rule 83), tax assistant in chartered accountancy firms, billing and inventory executive, and finance support in corporate and government organisations. It also equips entrepreneurs to manage their own compliance. The skill set complements professional courses such as CA, CMA, CS, B.Com/M.Com and MBA (Finance), and is in continuous demand because GST compliance is mandatory for every registered business in India.

7.5 Discussion

The study confirms that accounting, computerised accounting and GST are inseparable in practice. The double-entry system provides the logic; TallyPrime provides the tool that enforces that logic and captures the additional information — GSTIN, place of supply, HSN and tax rate — required by law; and GST law prescribes what must be reported and when. Errors at any one level propagate to the others: a wrongly grouped ledger distorts the balance sheet, a wrongly configured party master produces the wrong tax, and a missed reconciliation results in denial of credit. Continuous learning is required because the GST framework evolves through Council decisions, notifications and portal changes, as the 2025 rate rationalisation and the introduction of the Invoice Management System illustrate.

CHAPTER 8

Conclusion and Future Scope

8.1 Conclusion

1. Financial accounting, based on the double-entry system and the accounting concepts and conventions, provides a reliable framework for measuring the profit and financial position of a business.
2. TallyPrime automates the accounting cycle; correct company configuration, ledger grouping and master data are the foundation of accurate reports and returns.
3. GST is a comprehensive, destination-based, dual tax with a fully online compliance system; its key elements are registration, tax invoices, time and place of supply, input tax credit with its conditions and set-off order, and time-bound returns.
4. The case study showed that a month's GST transactions can be recorded, summarised and reconciled with the returns from a single set of Tally data, with net tax payable of ₹5,400 after set-off of ₹64,800 of input tax credit against ₹70,200 of output tax.
5. Regular reconciliation with GSTR-2B, timely filing and awareness of rate and procedural changes are essential to avoid interest, penalties and loss of credit.

8.2 Limitations of the Study

The case study is hypothetical and simplified: a single GST rate, no reverse-charge transactions, no returns of goods, no depreciation and no TDS. Real businesses face multiple rates, exempt and nil-rated supplies, apportionment of credit and e-invoicing. Statutory figures quoted are as applicable at the time of writing and are subject to amendment.

8.3 Future Scope

- Extension of the case study to a full financial year with depreciation, TDS, reverse-charge purchases, credit/debit notes and the annual return GSTR-9.
- Study of GST for a manufacturing unit with job work, multiple godowns and e-way bills, or for a service provider with SAC codes and place-of-supply rules.
- Comparison of TallyPrime with other accounting software such as Zoho Books, Busy or QuickBooks on GST compliance features.
- Analysis of GST revenue trends and the impact of the 2025 rate rationalisation on small traders in Bihar.
- Integration of Tally data with Excel dashboards or Power BI for management reporting.

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APPENDIX A: SAMPLE VIVA-VOCE QUESTIONS

1. State the accounting equation and explain the dual aspect concept.
2. What are the golden rules of accounting? Give one example of each.
3. Distinguish between a journal and a ledger. What is a trial balance?
4. Name the 15 primary groups in TallyPrime. Under which group are GST ledgers created?
5. What are the shortcut keys for Contra, Payment, Receipt, Journal, Sales and Purchase vouchers in TallyPrime?
6. How does TallyPrime decide whether to apply CGST + SGST or IGST on an invoice?
7. What is the constitutional basis of GST? What is the role of the GST Council?
8. Explain the structure of a GSTIN.
9. What is the threshold limit for GST registration for goods and for services?
10. What are the conditions for availing input tax credit under Section 16?
11. Explain the order of utilisation of ITC. Can CGST credit be set off against SGST?
12. What are the due dates of GSTR-1, GSTR-3B and GSTR-9?
13. What is the composition scheme and who is eligible for it?
14. What is an e-way bill and when is it required? What is e-invoicing?
15. What changes were made to the GST rate structure from 22 September 2025?

APPENDIX B: TALLYPRIME SHORTCUT KEYS

Key	Function	Key	Function
Alt+K	Company menu (create, alter, select)	F11	Company features
Alt+G	Go To (search any report/master)	F12	Configuration
Alt+C	Create master on the fly	Ctrl+A	Accept / save
Alt+D	Delete voucher / master	Ctrl+Q	Quit without saving
Alt+E	Export report	Alt+P	Print
Alt+M	E-mail report	F2	Change date / period
F4 / F5 / F6	Contra / Payment / Receipt	F7 / F8 / F9	Journal / Sales / Purchase
Alt+F5 / Alt+F6	Debit note / Credit note	Alt+F7	Stock journal
Ctrl+F7	Physical stock	Ctrl+F10	Memorandum voucher
Alt+Enter	Drill down to voucher	Esc	Go back

APPENDIX C: GLOSSARY OF TERMS

Term	Meaning
Aggregate turnover	Total value of all taxable, exempt, export and inter-state supplies of a person with the same PAN, excluding GST.
Bill of supply	Document issued instead of a tax invoice by composition dealers and for exempt supplies.
Capital goods	Goods capitalised in the books and used in the course of business.
Composition scheme	Simplified scheme for small taxpayers paying tax at a flat rate on turnover without ITC.
Electronic Credit Ledger	Ledger on the GST portal recording input tax credit available to a taxpayer.
Electronic Cash Ledger	Ledger on the GST portal recording cash deposited for payment of tax, interest, penalty and fees.
Group (Tally)	Classification under which ledgers are placed to determine their position in financial statements.
HSN / SAC	Harmonised System of Nomenclature code for goods / Services Accounting Code for services.
Input tax credit	Credit of GST paid on inputs, input services and capital goods against output tax.
IRN	Invoice Reference Number generated by the Invoice Registration Portal for an e-invoice.
Ledger (Tally)	An individual account (e.g. a customer, an expense) created under a group.
Place of supply	Location that determines whether a supply is intra-state or inter-state.
Reverse charge	Mechanism under which the recipient, not the supplier, is liable to pay GST.
Voucher	Record of a transaction in Tally, of a specific type such as Sales, Purchase, Payment or Receipt.
Zero-rated supply	Exports and supplies to SEZ on which no tax is payable but ITC is available.